

August 23, 2012



✓ The Chief Executive
Nairobi Stock Exchange Limited
P O Box 43633
NAIROBI

The Chief Executive
Uganda Securities Exchange Limited
Workers House 1 Pilkington Road
P O Box 23552
KAMPALA

The Chief Executive
Dar Es Salaam Stock Exchange
4th Floor, Twiga Building
DAR ES SALAAM

Dear Sirs

END OF YEAR FINANCIAL RESULTS

At their Board Meeting held on 23 August 2012, the Directors of East African Breweries Limited approved the Group's financial results for the year ended 30 June 2012.

The Board of Directors will be recommending a final dividend of Kshs 6.25 per ordinary share of Kshs 2/- each for the year ended 30 June 2012. The final dividend together with the interim dividend of Kshs 2.50 per ordinary share paid on 13 April 2012 will bring the total dividend for the year to Kshs 8.75 per ordinary share.

The records date for qualification of the dividends is the 21st September 2012. The register of members shall remain closed on 21st September 2012 for the purposes of preparing dividend warrants. The final dividend shall be paid on or about 26th October 2012.

Please find enclosed herewith a statement of the financial results as approved.

Yours faithfully
FOR EAST AFRICAN BREWERIES LIMITED


Agnes Murgor
GROUP COMPANY SECRETARY

*Encl:

c.c. The Chief Executive – Capital Market Authority, Nairobi
The Chief Executive – Capital Market Authority, Kampala
The Chief Executive – Capital Markets and Securities Authority, Dar es Salaam

Kenya Breweries Ltd | Uganda Breweries Ltd | Serengeti Breweries Ltd | East African Maltings Ltd | Central Glass Industries Ltd |
UDV (Kenya) Ltd International Distillers Uganda Ltd eabl International Ltd.

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Directors : C Muchene * (Group Chairman), N Blazquez (Dr.) ** (Group Deputy Chairman), D Hainsworth ** (Group Managing Director), S Adetu ***,
Tracey Barnes ** (Group Finance Director), S Moriarty **, E Mwaniki *, A Shonubi ****, M Bomani *****, C Gakonyo *, S Wakhungu-Githuku *,
[***** Tanzanian ***** Ugandan ***Nigerian ** British * Kenyan]

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Consolidated income Statement

	Year ended 30 June	
	2012	2011
	Kshs'000	Restated Kshs'000
Revenue	55,522,166	44,895,037
Cost of sales	(28,657,047)	(22,828,144)
Gross profit	26,865,119	22,066,893
Other income	3,797,208	320,673
Selling costs	(4,588,896)	(3,491,554)
Administrative expenses	(7,450,204)	(6,474,500)
Finance income	1,192,359	109,633
Finance costs	(4,562,537)	(272,156)
Profit before income tax	15,253,049	12,258,989
Income tax expense	(4,066,936)	(3,235,329)
Profit for the year	11,186,113	9,023,660
Profit attributable to:		
Equity holders of the Company	10,643,587	7,362,675
Non controlling interest	542,526	1,660,985
Profit for the year	11,186,113	9,023,660
Earnings per share for profit attributable to the equity holders of the Company		
- basic and diluted (Kshs per share)	13.46	9.30
Dividends:		
Interim dividends – paid in the year	1,976,936	1,976,936
Proposed final dividend for the year	4,942,340	4,942,340
	6,919,276	6,919,276

Consolidated statement of comprehensive income

	Year ended 30 June	
	2012	2011
	Kshs'000	Restated Kshs'000
Profit for the year	11,186,113	9,023,660
Other comprehensive income, net of tax:		
Exchange differences from translation of net foreign operations	(362,871)	179,466
Total comprehensive income for the year	10,823,242	9,203,126
Total comprehensive income for the year attributable to:		
Equity holders of the Company	10,517,604	7,417,771
Non controlling interest	305,638	1,785,355
Total recognised income for the year	10,823,242	9,203,126

Consolidated statement of financial position

	At 30 June		1 July
	2012	2011	2010
	Kshs'000	Restated Kshs'000	Restated Kshs'000
Equity attributable to the owners of Parent			
Share capital	1,581,547	1,581,547	1,581,547
Share premium	1,691,151	1,691,151	1,691,151
Capital reserve	1,281,545	1,281,545	1,281,545
Retained earnings	14,985,679	11,261,368	10,817,969
Proposed dividends	4,942,340	4,942,340	4,942,340
Share based payment reserve	67,046	-	-
Translation reserve	284,091	410,074	354,978
	24,833,399	21,168,025	20,669,530
Non controlling interest	2,174,518	5,587,156	3,140,665
Other reserves	(18,292,037)	-	-
Total equity	8,715,880	26,755,181	23,810,195
Non-current liabilities			
Borrowings	19,982,236	3,917,688	-
Deferred income tax liabilities	3,402,418	3,337,309	2,723,855
	23,384,654	7,254,997	2,723,855
Total equity and non-current liabilities	32,100,534	34,010,178	26,534,050
Non-current assets			
Property, plant and equipment	31,246,602	28,304,026	16,935,217
Intangible asset – software	249,649	380,026	531,226
Intangible asset – Goodwill	3,577,191	3,577,191	648,664
Intangible asset – Brand	563,005	563,005	-
Prepaid operating lease rentals	10,934	29,715	30,262
Investment in associate company	-	-	2,465,213
Financial assets	-	97,961	97,562
Other investments	10,400	10,400	10,400
Deferred income tax assets	868,762	236,583	141,023
	36,526,543	33,198,907	20,859,567
Current assets			
Inventories	7,957,272	4,399,365	3,465,054
Trade and other receivables	8,189,805	7,066,073	5,593,453
Current income tax recoverable	912,723	740,353	405,251
Term deposits	-	-	6,570,036
Cash and bank balances	997,973	1,649,453	1,325,079
	18,057,773	13,855,244	17,358,873
Disposal assets held for sale	-	2,465,213	-
	18,057,773	16,320,457	17,358,873
Current liabilities			
Trade and other payables	15,327,378	13,581,299	9,922,149
Current income tax payable	492,442	352,772	1,454,193
Borrowings	6,048,542	1,229,970	-
Dividends payable	615,420	345,145	308,048
	22,483,782	15,509,186	11,684,390
Net current (liabilities)/assets	(4,426,009)	811,271	5,674,483
Net assets	32,100,534	34,010,178	26,534,050

Consolidated statement of changes in equity

Year ended 30 June 2011

	Share capital	Share premium	Revaluation reserves	Translation reserves	Retained earnings	Proposed dividends	Total	Non controlling interest	Total Equity
	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
As at 1 July 2010	1,581,547	1,691,151	1,473,289	354,978	10,768,656	4,942,340	20,811,961	3,140,665	23,952,626
- As previously stated	-	-	(191,744)	-	49,313	-	(142,431)	-	(142,431)
- Prior year adjustment*									
As restated	1,581,547	1,691,151	1,281,545	354,978	10,817,969	4,942,340	20,669,530	3,140,665	23,810,195
Comprehensive income									
Profit for the year - restated	-	-	-	-	7,362,675	-	7,362,675	1,660,985	9,023,660
Other comprehensive income									
Exchange differences on translation of foreign	-	-	-	55,096	-	-	55,096	124,370	179,466
Total comprehensive income for the year	-	-	-	55,096	7,362,675	-	7,417,771	1,785,355	9,203,126
Transactions with owners									
NCI arising on business combination	-	-	-	-	-	-	-	1,935,472	1,935,472
Dividends:									
- 2010 final paid	-	-	-	-	-	(4,942,340)	(4,942,340)	(1,274,336)	(6,216,676)
- 2011 interim paid	-	-	-	-	(1,976,936)	-	(1,976,936)	-	(1,976,936)
- 2011 final proposed	-	-	-	-	(4,942,340)	4,942,340	-	-	-
Total transactions with owners	-	-	-	-	(6,919,276)	-	(6,919,276)	661,136	(6,258,140)
At 30 June 2011	1,581,547	1,691,151	1,281,545	410,074	11,261,368	4,942,340	21,168,025	5,587,156	26,755,181

*Prior year adjustment arose from change of policy for measurement of the carrying value of property plant and equipment from revaluation model to cost model.

Consolidated statement of changes in equity (continued)

Year ended 30 June 2012	Share capital	Share premium	Capital reserve	Translation reserves	Retained earnings	Proposed dividends	Share based payment reserve	Other revenue reserves	Total	Non controlling interest	Total Equity
	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
As at 1 July 2011	1,581,547	1,691,151	1,473,289	410,074	11,202,570	4,942,340	-	-	21,300,971	5,587,156	26,888,127
- As previously stated	-	-	(191,744)	-	58,798	-	-	-	(132,946)	-	(132,946)
- Prior year adjustments*	-	-	-	-	-	-	-	-	-	-	-
As restated	1,581,547	1,691,151	1,281,545	410,074	11,261,368	4,942,340	-	-	21,168,025	5,587,156	26,755,181
Comprehensive income											
Profit for the year	-	-	-	-	10,643,587	-	-	-	10,643,587	542,526	11,186,113
Other comprehensive income	-	-	-	(125,983)	-	-	-	-	(125,983)	(236,888)	(362,871)
Total comprehensive income for the year	-	-	-	(125,983)	10,643,587	-	-	-	10,517,604	305,638	10,823,242
Transactions with owners											
NCI acquired during the year	-	-	-	-	-	-	-	-	-	(1,827,214)	(1,827,214)
Other reserves arising from transactions with minority shareholders	-	-	-	-	-	-	-	(18,292,037)	(18,292,037)	-	(18,292,037)
Share based payment reserve	-	-	-	-	-	-	67,046	-	67,046	-	67,046
Dividends:											
- 2011 final paid	-	-	-	-	-	(4,942,340)	-	-	(4,942,340)	(1,891,062)	(6,833,402)
- 2012 interim paid	-	-	-	-	(1,976,936)	-	-	-	(1,976,936)	-	(1,976,936)
- 2012 final proposed	-	-	-	-	(4,942,340)	4,942,340	-	-	-	-	-
Total transactions with owners	-	-	-	-	(6,919,276)	-	67,046	(18,292,037)	(25,144,267)	(3,718,276)	(28,862,543)
At 30 June 2012	1,581,547	1,691,151	1,281,545	284,091	14,985,679	4,942,340	67,046	(18,292,037)	6,541,362	2,174,518	8,715,880

Prior year adjustment arose from change of policy for measurement of the carrying value of property plant and equipment from revaluation model to cost model.

Consolidated statement of cash flows

	Year ended 30 June	
	2012	2011
	Kshs'000	Kshs'000
		Restated
Operating activities		
Cash generated from operations	14,611,881	14,176,244
Interest income	1,192,359	109,633
Interest expense	(4,317,432)	(272,156)
Income tax paid	(4,652,253)	(5,136,026)
Net cash generated from operating activities	6,834,555	8,877,695
Investing activities		
Purchase of property, plant and equipment	(6,695,779)	(6,372,916)
Purchase of intangible assets - software	(625)	-
Cash outflow on acquisition of subsidiary	(20,570,963)	(4,579,402)
Proceeds from disposal of leasehold land and buildings	740,927	1,217,812
Net proceeds from disposal of associate	6,111,552	-
Net cash used in investing activities	(20,414,888)	(9,734,506)
Financing activities		
Dividends paid to company's shareholders	(6,649,001)	(6,882,179)
Dividends paid to non-controlling interests	(1,891,062)	(1,274,336)
Proceeds from borrowings	26,591,026	1,796,316
Loan repayments	(5,440,765)	-
Proceeds from disposal of financial assets	97,961	-
Net cash generated from/(used in) financing activities	12,708,159	(6,360,199)
Net decrease in cash and cash equivalents	(872,174)	(7,217,010)
Movement in cash and cash equivalents		
Cash and cash equivalents at start of year	678,105	7,895,115
Net decrease in cash and cash equivalents	(872,174)	(7,217,010)
Cash and cash equivalents at end of year	(194,069)	678,105